WARRANTY ATLAS · Oregon (OR)

Law last amended: 2025 (eff. 2026-01-01) · Next scheduled change: none found · Last verified: 2026-09-25 · Built 2026-11-02

Cites: Or. Rev. Stat. § 650.158; Or. Rev. Stat. § 650.170 (dealer's remedy)

Labor reimbursement by coverage type

Coverage	Status	Paid hours	Pinpoint / date note
Factory warranty	**Required**	Factory time (reasonable/adequate standard where stated)	ORS 650.158(2)(b)(C); see (1)(c), (2)(a)
Mfr-backed service contract	**Not addressed**	-	ORS 650.158(2)(a)
CPO warranty	**Not addressed**	-	ORS 650.158(2)(a)
Independent service contract	**Not addressed**	-	ORS 650.158(1)(a)

Hourly rate: Not less than the rate the dealer charges nonwarranty customers. Dealer proposes it from 100 sequential nonwarranty customer-paid invoices or 90 consecutive days, whichever is less (within 180 days). Presumed fair if uncontested. Manufacturer may contest on accuracy or with evidence from at least 3 dealers in contiguous or similar markets. Effective 30 days after approval, and uncontested for 30 days counts as approval. Verification or increase once per year.

Audit fields

Field	Rule	Pinpoint
Claim decision	30 days; late claim deemed approved: Yes. written notice of the grounds for disapproving a claim	§ 650.158(4)(a)-(e) [(4)(a)-(d) in the pre-2026 text]; deem…
Payment	30 days after approval. Dealer filing deadline: Silent. Franchises entered or renewed on or after 1/1/2026: correct and resubmit within 30 days of disapproval ((4)(c), new). All franchi…	
Chargebacks	12 months; fraud: The 1-year limit does not apply if the manufacturer has reasonable gr…. Audits of paid warranty or incentive claims, and chargebacks for them, may not be started more than 1 year after payment unless the manufacturer has reasonable grounds to believe fraud; after 1 year only proven fraudulent amounts may be charged back, and perm…	Or. Rev. Stat. § 650.130(8)
Rate resubmission	Franchises entered or renewed on or after 1/1/2026: 'Not more than once per year' the manufacturer may verify and the dealer may propose an increase. Pre-2026 text: only the manufacturer's verification is limited to once per year.. Sample: 100 ROs or 90 days (fewer of the two samples); ROs <= 180 days old. Excluded: Discounted / promotional, Other (see text), Routine maintenance, Prep / reconditioning.	§ 650.158(2)(b)(A), (D), (c), (e)
Mfr response	30 days; no response = approved: Yes. Challenge: The proposal is not accurate, or does not reasonably conform with what other same line-make dealers in contiguous market areas charge nonwarranty customers, or other relevant evidence. A market comparison needs evidence from at least 3 dealers in the contiguo…	§ 650.158(2)(b)(B), (c)-(d)
Penalties	Injunction; damages for actual loss of money; court may award reasonable attorney fees and costs to the prevailing party; 2-year limitation for damages (ORS 650.170) None in ORS 650.120-650.173	Or. Rev. Stat. § 650.170
Audit procedures	Audit climate score 29/100 (Moderate restrictiveness; chargeback limits 27/75 + process and oversight 2/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: no; selection basis disclosed: no; frequency cap: none; written reasons: no; response period: 45 days; internal appeal: no; held pending appeal: no; extrapolation: silent; clerical-error protection: yes; rate validation: broader or no procedure.	

Statute quotes

Claims *(§ 650.158(4)(a)-(e) [(4)(a)-(d) in the pre-2026 text]; deem…): "all claims that a dealer makes for labor or parts within 30 days after receiving the claim ... Treat as approved any claim ... did not approve or disapprove within 30 days after the manufacturer, distributor or importer received the claim"*
Chargebacks *(Or. Rev. Stat. § 650.130(8)): "If a manufacturer ... initiates an audit more than one year following the date of payment, the manufacturer ... may charge back to the dealer only the amount of a claim that the manufacturer ... proves was fraudulent."*
Rate *(§ 650.158(2)(b)(A), (D), (c), (e)): "copies of 100 sequential nonwarranty service repair invoices that customers paid or 90 consecutive days' worth of nonwarranty service invoices that customers paid, whichever is less, for repairs the dealer made not more than 180 days before the dealer's submission"*
Factory time *(ORS 650.158(2)(b)(C); see (1)(c), (2)(a)): "A manufacturer, distributor or importer shall use time allowances that are reasonable and adequate for a qualified technician to make a diagnosis and perform work or service."*

Notes

There are TWO REGIMES by franchise date. The 2025 c.50 amendments apply only to franchises entered or renewed on or after 1/1/2026. New for those franchises: (2)(b)(C), time allowances reasonable for a qualified technician, and no unreasonable denial of requests to modify or add time. Also new: (4)(c) 30-day resubmission, (5) the 1-year audit and chargeback grounds, (6)(c)-(e) limits on mileage-based denials, national-norm reductions and failure-rate repair caps, (7) markup on no-charge parts, and the dealer's once-per-year increase. Older franchises keep the 2023-edition text. Motor-home living-facility parts are excluded from parts reimbursement. Correction 2026-09-27: an earlier note said pre-2026 franchises had no statutory audit lookback; ORS 650.130(8) sets a 1-year limit for all franchises.

Source: official · https://www.oregonlegislature.gov/bills_laws/ors/ors650.html (2025 edition); pre-2026 text: https://www.oregonlegislatu… · Confidence: high. Public-source research summary for audit planning, not legal advice. No company-approved rates. Confirm against the cited statute; escalate disputes to Legal.